Company Registration No. 00290803 (England and Wales)

PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE YEAR ENDED 30 JUNE 2020

MONDAY

AAØAMP4A

A08 15/03/2021 #334

COMPANIES HOUSE

PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

COMPANY INFORMATION

Directors	D MacAnthony B F Fry R Symns Dr J D Neale R S Thompson
Company number	00290803
Registered office	London Road Peterborough Cambridgeshire PE2 8AL
Auditor	Stephenson Smart & Co 36 Tyndall Court Commerce Road Lynchwood Peterborough PE2 6LR
Business address	London Road Peterborough Cambridgeshire PE2 8AL
Bankers	Barclays Bank Plc 1 Church Street Peterborough Cambridgeshire PE1 1QP
Solicitors	Pinder Reaux & Associates 61a East Street Barking Essex IG11 8EJ

PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

CONTENTS

	Page
Strategic report	1 - 3
Directors' report	4 - 5
Independent auditor's report	6 - 7
Statement of comprehensive income	8
Balance sheet	9
Statement of changes in equity	10
Statement of cash flows	11
Notes to the financial statements	12 - 28

PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

STRATEGIC REPORT

FOR THE YEAR ENDED 30 JUNE 2020

The directors present the strategic report for the year ended 30 June 2020.

Summary of the business

The Directors report a loss before tax for the year of £3,469,722 (2019: £1,374,873).

Key Performance Indicators

The following key performance indicators are used by the company to measure and evaluate its performance:

	2020	2019
Turnover	£7,234,714	£6,513,357
(Loss)/Profit before tax	(£3,469,722)	(£1,374,873)
Staff Costs	£6,211,092	£5,327,535
Average Attendance	7,371	7,364
League Position	7th Sky Bet League 1	7th Sky Bet League 1

The directors take a cautious view with respect to financial risk management with the company being well managed by its board who operate a strict and prudent fiscal policy in all aspects.

Budgets and projections indicate that revenue generated from footballing activities being season ticket sales, gate receipts, FL Club distributions, competition prize money and TV & broadcasting revenue are insufficient to cover expected costs.

The directors are continually mindful that financially the company is dependent and will continue to be dependent upon the support provided by its beneficial owners, Mr D MacAnthony, Dr J Neale and Mr R Thompson.

Turnover is approximately 11.1% up on the previous year, cost of sales have decreased by approximately 44.5%, leading to an increase in the gross profit by 80%.

Overall Staff Costs are up by approximately 16.6% with this being a targeted area for savings on an ongoing basis.

Our Average Attendance is similar to the prior year with a continued campaign of Attendance Initiatives Projects being undertaken to improve this position.

Review of the business and principal risk and uncertainties

I will use the word straight away and then it's done 'unprecedented', there, I've said it! The rest of the season will eventually pale into insignificance but never be forgotten that's for sure .

In true Posh style we lose our first three matches and then go on a fifteen-game run where we are only beaten once and that was away at Doncaster, we're sitting third, two points off the top in the league and looking good. Most of November and December is kind to us with only a couple of defeats and then Doncaster Rovers ***again,*** spoil our party on Boxing Day.

Following our traditional Christmas stumble through the fixtures the New Year sees us playing some of our best football of the season culminating in a tremendous win against Portsmouth here at home at the start of March .

COVD-19, Curtailment of league 1 and Points Per Game will be forever embedded in our history but most importantly, loss of loved ones will be the marker in our lives that really matters.

We finish 4th - PPG changes that to 7th, goodbye to Play Offs.

Review of the business (continued)

Our business outcomes were heavily affected as recorded below:

- Commercial:

The season as usual started with the normal high level of commercial Sponsorship, Hospitality and Advertising that the team always procure, nothing new there, but when the instruction for Lockdown came in March, the realisation of a major default regarding potential refunding or breach of contract led to intensified discussions that culminated in professional and cordial agreement on behalf of the club and its partners.

- Retail:

As ever the hard work and detail that make our independent retail outlets successful are probably understated, also as previously mentioned, the way people shop has dynamically changed. A new Shop Manager was appointed in the new year and with that came new ideas that have further improved the concept, management and style of presentation of the business.

- Media:

The sheer volume of media related output required at a football club is effectively unquantifiable . There are daily/hourly and even up-to-the-minute changes required across the whole spectrum of website, video and social media that must be constantly managed. The team meet all these requirements unreservedly with a quality of content that is recognised as a market benchmark.

- Finance:

Vigilance, professionalism, constant monitoring and modelling, doomsday-scenarios, optimistic-scenarios , balanced forecasting, critical information gathering, and of course guessing! All these responsibilities became magnified and acute following Lockdown, and the work undertaken in providing comprehensive information and options was magnificently managed....Bravo.

- Ticketing:

Another department that had to Stop, Look and Listen as COVID-19 changed the face of sport and stopped fans from attending their favourite venues. The work and then accommodation required to present an acceptable set of Refund Options was immense and extremely well managed considering that that 'not all of the people' were satisfied 'all of the time'.

- Football Secretariat:

Three quarters of the season undertaken with the usual mixture of administrative highs and lows and we are preparing for the possibility of Play-Offs and Wembley. That was the good news ... the actual administrative planning undertaken was how to effectively mothball the football club but still maintain the infrastructure to allow us to return to training and finish the season with immediate effect when we received the green light ... it never came.

- Stadium Manager:

The work and maintenance undertaken in looking after a stadium (especially one that is in its senior years) should never be underestimated. Continual audits and inspections usually precipitate the need to change/ improve the existing facilities and buildings and this merry go round can be costly and demanding to say the least.

Review of the business (continued)

- Security & Risk Management:

I think I can safely say that world is changing, and we must be prepared to move with it. New skill sets are often required and the ability to source these was tremendously important as we looked forward to the future of the football club and its aspirations. This new role is still evolving, and its benefit is already showing in terms of financial, security, and future planning outcomes.

- IT:

The decision to invite an external provider to manage all our needs has proven successful as we now have improved stability in our technical output and extended knowledge which supports out internal staffing needs. There is still more work to be undertaken and as I am sure we are all aware this particular business is forever progressing.

- Digital Marketing:

Providing top quality content, information and statistical support has seen a steady return when planning for the future in multiple areas of retail, finance, digital output, and the social media market. Add to this the professional benefit of intellectual support in terms of general media analysis and presentation, I think we have a winner.

- Stadium:

At this time of writing, and accounting for COVID-19 interruption, we are once more on the cusp of buying the stadium back from the City Council. Regarding New Stadium build, the First Phase ***Feasibility Study*** has been completed with Second Phase ***Concept & Design*** next on the agenda.

Closing summary

A season of promise and pandemic ... with the ultimate concern of health and well-being being the overriding factor. Time and history will be the markers of how we have been affected and how we managed our lives and our business.

Whilst ambition and strength will always be applauded and deservedly so, we must never forget the team and people ethic of consideration and support, without it we become sad and disappointing individuals.

So, we move forward with a new season on the horizon, a new vaccine, and the return of fans ... now that's a hat-trick!

On behalf of the board

.....
R Symons
Director
..... 15 February 2021

PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

DIRECTORS' REPORT

FOR THE YEAR ENDED 30 JUNE 2020

The directors present their annual report and financial statements for the year ended 30 June 2020.

Principal activities
The principal activity of the club continued to be that of a professional football club.

Directors
The directors who held office during the year and up to the date of signature of the financial statements were as follows:

D MacAnthony
B F Fry
R Symns
Dr J D Neale
R S Thompson

Results and dividends
The results for the year are set out on page 8.

No ordinary dividends were paid. The directors do not recommend payment of a final dividend.

Auditor
The auditor, Stephenson Smart & Co, is deemed to be reappointed under section 487(2) of the Companies Act 2006.

Statement of directors' responsibilities
The directors are responsible for preparing the annual report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Statement of disclosure to auditor
So far as the directors are aware, there is no relevant audit information of which the company's auditor are unaware. Additionally, the directors have taken all the necessary steps that they ought to have taken as directors in order to make themselves aware of all relevant audit information and to establish that the company's auditors are aware of that information.

DIRECTORS' REPORT (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2020

On behalf of the board

R Symns
Director

Date: 15 February 2021

PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

INDEPENDENT AUDITOR'S REPORT

TO THE MEMBERS OF PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

Opinion

We have audited the financial statements of Peterborough United Football Club Limited (the 'company') for the year ended 30 June 2020 which comprise the statement of comprehensive income, the balance sheet, the statement of changes in equity, the statement of cash flows and notes to the financial statements, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including FRS 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland* (United Kingdom Generally Accepted Accounting Practice).

In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 30 June 2020 and of its loss for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the financial statements* section of our report. We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Material uncertainty related to going concern

In forming our opinion on the financial statements, we have considered the adequacy of the disclosures made in note 1 of the financial statements concerning the company's ability to continue as a going concern and its reliance on the ongoing financial support of its joint controlling companies, creditors and bankers. In view of the significance of these factors we consider that it should be drawn to your attention but our opinion is not modified in respect of this matter.

Other information

The directors are responsible for the other information. The other information comprises the information included in the annual report, other than the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether there is a material misstatement in the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of our audit:

- the information given in the strategic report and the directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the strategic report and the directors' report have been prepared in accordance with applicable legal requirements.

INDEPENDENT AUDITOR'S REPORT (CONTINUED)

TO THE MEMBERS OF PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

Matters on which we are required to report by exception

In the light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified material misstatements in the strategic report and the directors' report.

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of directors

As explained more fully in the directors' responsibilities statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at: http://www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Use of our report

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.



Kerry Hilliard ACA FCCA CTA (Senior Statutory Auditor)
for and on behalf of Stephenson Smart & Co

15 February 2021

Chartered Accountants
Statutory Auditor

36 Tyndall Court
Commerce Road
Lynchwood
Peterborough
PE2 6LR

PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

STATEMENT OF COMPREHENSIVE INCOME

FOR THE YEAR ENDED 30 JUNE 2020

	Notes	2020 £	2019 £
Turnover	3	7,234,714	6,513,357
Cost of sales		(2,001,372)	(3,605,405)
Gross profit		5,233,342	2,907,952
Administrative expenses		(9,483,806)	(8,492,190)
Other operating income		286,008	48,020
Profit on the disposal of player registrations	4	556,703	4,428,519
Operating loss	5	(3,407,753)	(1,107,699)
Interest receivable and similar income	9	-	22,914
Interest payable and similar expenses	10	(61,969)	(290,088)
Loss before taxation		(3,469,722)	(1,374,873)
Taxation	11	-	-
Loss for the financial year	22	(3,469,722)	(1,374,873)

The profit and loss account has been prepared on the basis that all operations are continuing operations.

PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

BALANCE SHEET

AS AT 30 JUNE 2020

	Notes	2020 £	2020 £	2019 £	2019 £
Fixed assets					
Intangible assets	12		1,758,790		2,447,460
Tangible assets	13		1,176,165		1,242,257
			2,934,955		3,689,717
Current assets					
Stocks	14	84,954		113,122	
Debtors falling due after more than one year	15	12,000		47,500	
Debtors falling due within one year	15	1,479,396		1,849,551	
Cash at bank and in hand		472,295		436,042	
		2,048,645		2,446,215	
Creditors: amounts falling due within one year	16	(13,944,264)		(13,193,094)	
Net current liabilities			(11,895,619)		(10,746,879)
Total assets less current liabilities			(8,960,664)		(7,057,162)
Creditors: amounts falling due after more than one year	17		(3,323,757)		(1,757,537)
Net liabilities			(12,284,421)		(8,814,699)
Capital and reserves					
Called up share capital	21		3,284,580		3,284,580
Profit and loss reserves	22		(15,569,001)		(12,099,279)
Total equity			(12,284,421)		(8,814,699)

The financial statements were approved by the board of directors and authorised for issue on 15 February 2021 and are signed on its behalf by:

R Symds
Director

Company Registration No. 00290803

PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 30 JUNE 2020

	Share capital	Profit and loss reserves	Total
	£	£	£
Balance at 1 July 2018	3,284,580	(10,724,406)	(7,439,826)
Year ended 30 June 2019:			
Loss and total comprehensive income for the year	-	(1,374,873)	(1,374,873)
Balance at 30 June 2019	3,284,580	(12,099,279)	(8,814,699)
Year ended 30 June 2020:			
Loss and total comprehensive income for the year	-	(3,469,722)	(3,469,722)
Balance at 30 June 2020	3,284,580	(15,569,001)	(12,284,421)

PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 30 JUNE 2020

	Notes	2020 £	2020 £	2019 £	2019 £
Cash flows from operating activities					
Cash generated from/(absorbed by) operations	27		1,103,523		(3,369,571)
Interest paid			(61,969)		(290,088)
Net cash inflow/(outflow) from operating activities			1,041,554		(3,659,659)
Investing activities					
Purchase of intangible assets		(1,192,500)		(1,350,500)	
Proceeds on disposal of intangibles		810,000		5,819,000	
Purchase of tangible fixed assets		(252,817)		(394,142)	
Proceeds on disposal of tangible fixed assets		46,280		44,175	
Interest received		-		22,914	
Net cash (used in)/generated from investing activities			(589,037)		4,141,447
Financing activities					
Proceeds from borrowings		1,926,652		661,988	
Repayment of borrowings		(1,560,029)		(300,000)	
Repayment of bank loans		(719,537)		(686,713)	
Payment of finance leases obligations		(63,350)		(62,231)	
Net cash used in financing activities			(416,264)		(386,956)
Net increase in cash and cash equivalents			36,253		94,832
Cash and cash equivalents at beginning of year			436,042		341,210
Cash and cash equivalents at end of year			472,295		436,042

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 30 JUNE 2020

1 Accounting policies

Company information

Peterborough United Football Club Limited is a private company limited by shares incorporated in England and Wales. The registered office is London Road, Peterborough, Cambridgeshire, PE2 8AL.

1.1 Accounting convention

These financial statements have been prepared in accordance with FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" ("FRS 102") and the requirements of the Companies Act 2006.

The financial statements are prepared in sterling, which is the functional currency of the company. Monetary amounts in these financial statements are rounded to the nearest £.

The financial statements have been prepared under the historical cost convention. The principal accounting policies adopted are set out below.

1 Accounting policies **(Continued)**

1.2 Going concern and post balance sheet events

The onset of the Covid-19 pandemic in the UK during March 2020 has had a s significant effect on the UK and worldwide economy. The subsequent ongoing lockdown measures have created a great deal of uncertainty for the UK economy. Until such time a vaccine is mass produced and readily available, these extremely challenging times are likely to continue. Peterborough United Football Club and the football industry as a whole are not immune to these issues.

The 2019/20 football season was postponed with the remainder of the season being cancelled. The 2020/21 season got underway in September 2020 with the games being played behind closed doors. This has had a significant impact of the Club's income streams which is likely to continue for a number of months.

Whilst the Club has managed to to adapt to these circumstances it does continually monitor its funding and cash position throughout the year to ensure it can reasonably expect to have access to sufficient funds to meet forecast cashflow requirements for the foreseeable future. Various scenarios are run to take into account changes to matchday attendance, sponsorship and advertising income, a reduction in player transfer and loan activity as well as a host of other variables. The Club has produced cashflow forecasts that cover the period to 30 June 2021, which takes into account various scenarios to reflect the inherent uncertainty of Covid-19. The current lockdown scenario remains uncertain and further consideration of potential scenarios and cash flow impact has also been considered informally beyond 30 June 2021 to ensure that the Directors are able to properly assess the going concern position.

Up to now the Club has been able to significantly reduce its overheads and advantage has been take of government support grants such as the Coronavirus Job Retention Scheme, Time to Pay arrangements and the VAT deferral scheme.

During the summer transfer window the Club has realised significant value from the sale of a player, it has also looked at reducing player costs with a number of players being loaned to other clubs and a number of players leaving on free transfers.

The Club is reliant on the continuing support of its joint controlling companies, creditors and bankers to enable it to continue to trade. The controlling parties as disclosed in note 26, have indicated their intention to support the company for at least twelve months from the date of approval of these accounts. The company is in regular contact with its creditors and bankers and the directors consider it reasonable to rely on their continued support.

The English Football League is also working with the Government to come up with a financial support package for all Clubs and we expect some announcement in the coming months.

Under all these reasonably foreseeable scenarios, based on the cashflow forecasts, the continuing support of the owners and availability of external funding as required, the Club should be able meet its liabilities as they fall due. As such, the directors believe it is appropriate for the financial statements to be prepared on the going concern basis. If the company was unable to continue in operation for the foreseeable future, adjustments would have to be made to reduce the balance sheet value of assets to their recoverable amounts, and to provide for further liabilities that might arise, and to reclassify fixed assets and long term liabilities as current assets and liabilities.

The effects of events in relation to the year ended 30 June 2020 which occurred before the date of approval of the financial statements by the Board of Directors, have been included in the statements to the extent required to show a true and fair view of the state of the affairs at 30 June 2020 and the results for the period ended on that date.

1 . Accounting policies **(Continued)**

1.3 Turnover

Turnover represents amounts receivable for net gate and ticket receipts, box subscriptions, television and sponsorship revenue, FA and prize money, contingent transfer fees, player loan fees, rental income and other commercial activities net of VAT. Turnover is the total amount excluding value added tax, receivable by the company in the ordinary course of business. Net gate and ticket receipts are recognised when the match is played; television and sponsorship revenue are recognised over the contract or sponsorship period; rental income is recognised over the rental period and all other income is recognised as it becomes receivable in line with the service provided.

1.4 Intangible fixed assets other than goodwill

Intangible assets acquired separately from a business are recognised at cost and are subsequently measured at cost less accumulated amortisation and accumulated impairment losses.

Intangible assets acquired on business combinations are recognised separately from goodwill at the acquisition date where it is probable that the expected future economic benefits that are attributable to the asset will flow to the entity and the fair value of the asset can be measured reliably; the intangible asset arises from contractual or other legal rights; and the intangible asset is separable from the entity.

Amortisation is recognised so as to write off the cost or valuation of assets less their residual values over their useful lives on the following bases:

Playing staff	amortised over the length of the related player contract

Transfer fees are recognised in the accounting period in which the transfer is registered with the relevant football governing body except where the contract is not conditional upon registration in which case the transfer is recognised when the contract becomes unconditional (usually when payment is made or received). Payments or receipts which are contingent on the performance of team or player are not recognised until the events crystalling such payments or receipts have taken place. Contingent payments or receipts are included within cost of sales and turnover respectively. Transfer fees payable excluding contingent amounts are capitalised and shown as intangible fixed assets. This amount is then amortised over the length of the related player contract. Transfer fees receivable excluding contingent amounts are treated as a sale of the relevant intangible fixed asset.

1.5 Tangible fixed assets

Tangible fixed assets are initially measured at cost and subsequently measured at cost, net of depreciation and any impairment losses.

Depreciation is recognised so as to write off the cost of assets less their residual values over their useful lives on the following bases:

Leasehold improvements	10% per annum of cost
Plant and machinery	25% per annum reducing balance
Fixtures, fittings & equipment	25% per annum reducing balance
Motor vehicles	25% per annum reducing balance

The gain or loss arising on the disposal of an asset is determined as the difference between the sale proceeds and the carrying value of the asset, and is credited or charged to profit or loss.

1 Accounting policies **(Continued)**

1.6 Impairment of fixed assets

At each reporting period end date, the company reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any).

1.7 Stocks

Stock is valued at the lower of cost and realisable value after making any adjustments necessary for obsolete or slow moving stock.

1.8 Financial instruments

The company has elected to apply the provisions of Section 11 'Basic Financial Instruments' and Section 12 'Other Financial Instruments Issues' of FRS 102 to all of its financial instruments.

Financial instruments are recognised in the company's balance sheet when the company becomes party to the contractual provisions of the instrument.

Financial assets and liabilities are offset, with the net amounts presented in the financial statements, when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

Basic financial assets

Basic financial assets, which include debtors and cash and bank balances, are initially measured at transaction price including transaction costs and are subsequently carried at amortised cost using the effective interest method unless the arrangement constitutes a financing transaction, where the transaction is measured at the present value of the future receipts discounted at a market rate of interest. Financial assets classified as receivable within one year are not amortised.

Other financial assets

Other financial assets, including investments in equity instruments which are not subsidiaries, associates or joint ventures, are initially measured at fair value, which is normally the transaction price. Such assets are subsequently carried at fair value and the changes in fair value are recognised in profit or loss, except that investments in equity instruments that are not publicly traded and whose fair values cannot be measured reliably are measured at cost less impairment.

Impairment of financial assets

Financial assets, other than those held at fair value through profit and loss, are assessed for indicators of impairment at each reporting end date.

Financial assets are impaired where there is objective evidence that, as a result of one or more events that occurred after the initial recognition of the financial asset, the estimated future cash flows have been affected. If an asset is impaired, the impairment loss is the difference between the carrying amount and the present value of the estimated cash flows discounted at the asset's original effective interest rate. The impairment loss is recognised in profit or loss.

If there is a decrease in the impairment loss arising from an event occurring after the impairment was recognised, the impairment is reversed. The reversal is such that the current carrying amount does not exceed what the carrying amount would have been, had the impairment not previously been recognised. The impairment reversal is recognised in profit or loss.

1 Accounting policies **(Continued)**

Derecognition of financial assets

Financial assets are derecognised only when the contractual rights to the cash flows from the asset expire or are settled, or when the company transfers the financial asset and substantially all the risks and rewards of ownership to another entity, or if some significant risks and rewards of ownership are retained but control of the asset has transferred to another party that is able to sell the asset in its entirety to an unrelated third party.

Classification of financial liabilities

Financial liabilities and equity instruments are classified according to the substance of the contractual arrangements entered into. An equity instrument is any contract that evidences a residual interest in the assets of the company after deducting all of its liabilities.

Basic financial liabilities

Basic financial liabilities, including creditors, bank loans, loans from fellow group companies and preference shares that are classified as debt, are initially recognised at transaction price unless the arrangement constitutes a financing transaction, where the debt instrument is measured at the present value of the future payments discounted at a market rate of interest. Financial liabilities classified as payable within one year are not amortised.

Debt instruments are subsequently carried at amortised cost, using the effective interest rate method.

Trade creditors are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Amounts payable are classified as current liabilities if payment is due within one year or less. If not, they are presented as non-current liabilities. Trade creditors are recognised initially at transaction price and subsequently measured at amortised cost using the effective interest method.

Other financial liabilities

Debt instruments that do not meet the conditions in FRS 102 paragraph 11.9 are subsequently measured at fair value through profit or loss. Debt instruments may be designated as being measured at fair value though profit or loss to eliminate or reduce an accounting mismatch or if the instruments are measured and their performance evaluated on a fair value basis in accordance with a documented risk management or investment strategy.

Derecognition of financial liabilities

Financial liabilities are derecognised when the company's contractual obligations expire or are discharged or cancelled.

1.9 Equity instruments

Equity instruments issued by the company are recorded at the proceeds received, net of transaction costs. Dividends payable on equity instruments are recognised as liabilities once they are no longer at the discretion of the company.

Changes in the fair value of derivatives that are designated and qualify as fair value hedges are recognised in profit or loss immediately, together with any changes in the fair value of the hedged asset or liability that are attributable to the hedged risk.

1.10 Employee benefits

The cost of any unused holiday entitlement is recognised in the period in which the employee's services are received.

Termination benefits are recognised immediately as an expense when the company is demonstrably committed to terminate the employment of an employee or to provide termination benefits.

1 Accounting policies **(Continued)**

1.11 Retirement benefits

Payments to defined contribution retirement benefit schemes are charged as an expense as they fall due.

1.12 Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessees. All other leases are classified as operating leases.

Assets held under finance leases are recognised as assets at the lower of the assets fair value at the date of inception and the present value of the minimum lease payments. The related liability is included in the balance sheet as a finance lease obligation. Lease payments are treated as consisting of capital and interest elements. The interest is charged to profit or loss so as to produce a constant periodic rate of interest on the remaining balance of the liability.

Rentals payable under operating leases, including any lease incentives received, are charged to profit or loss on a straight line basis over the term of the relevant lease except where another more systematic basis is more representative of the time pattern in which economic benefits from the leases asset are consumed.

Rental income from operating leases is recognised on a straight line basis over the term of the relevant lease. Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying amount of the leased asset and recognised on a straight line basis over the lease term.

1.13 Government grants

Government grants are recognised at the fair value of the asset received or receivable when there is reasonable assurance that the grant conditions will be met and the grants will be received.

A grant that specifies performance conditions is recognised in income when the performance conditions are met. Where a grant does not specify performance conditions it is recognised in income when the proceeds are received or receivable. A grant received before the recognition criteria are satisfied is recognised as a liability.

1.14 Signing on fees

Contractual amounts of fees payable to players are recognised as prepayments and spread evenly over the contract period. The net balance of signing on fees relating to players sold is included within the calculation of profit or loss on disposal of players' contracts.

2 Judgements and key sources of estimation uncertainty

In the application of the company's accounting policies, the directors are required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised where the revision affects only that period, or in the period of the revision and future periods where the revision affects both current and future periods.

2 Judgements and key sources of estimation uncertainty (Continued)

Key sources of estimation uncertainty

The estimates and assumptions which have a significant risk of causing a material adjustment to the carrying amount of assets and liabilities are as follows.

Depreciation and amortisation

Depreciation and amortisation are recognised to write off the cost of intangible and tangible fixed assets less their residual values over their useful lives at the rates detailed in Notes 1.4 and 1.5. The provisions for amortisation and depreciation at the reporting end date are £1,821,210 and £2,075,096 respectively. Further details of the amounts provided at the beginning and end of the period, together with the charge for the year are shown in Notes 12 and 13 respectively.

Contingent Appearance Fees

The company has, under transfer agreements, a liability to pay additional sums dependent on players' attainment and any subsequent transfer value. At the year end such fees were estimated at £660,000 (2019: £325,000) which are not considered probable based on managements best estimates.

3 Turnover and other revenue

An analysis of the company's turnover is as follows:

	2020	2019
	£	£
Turnover analysed by class of business		
Retail income	511,802	419,144
Football and commercial income	6,722,912	6,094,213
	7,234,714	6,513,357

	2020	2019
	£	£
Other significant revenue		
Interest income	-	22,914
Grants received	257,717	-

The total turnover of the company for the period has been derived from its principal activity wholly undertaken in the United Kingdom.

4 Exceptional item

	2020	2019
	£	£
Profit on the disposal of player registrations	556,703	4,428,519

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2020

5 Operating loss

Operating loss for the year is stated after charging/(crediting):	2020 £	2019 £
Government grants	(257,717)	-
Depreciation of owned tangible fixed assets	185,208	189,002
Depreciation of tangible fixed assets held under finance leases	20,637	32,022
Profit on disposal of tangible fixed assets	(12,486)	(1,437)
Amortisation of intangible assets	931,373	805,043
Operating lease charges	556,988	525,011

6 Auditor's remuneration

Fees payable to the company's auditor and associates:	2020 £	2019 £
For audit services		
Audit of the financial statements of the company	16,750	13,500

7 Employees

The average monthly number of persons (including directors) employed by the company during the year was:

	2020 Number	2019 Number
Playing staff	82	68
Matchday staff	81	95
Management and office	28	38
	191	201

Their aggregate remuneration comprised:

	2020 £	2019 £
Wages and salaries	5,549,137	4,743,913
Social security costs	579,996	532,300
Pension costs	81,959	51,322
	6,211,092	5,327,535

8 Directors' remuneration

	2020	2019
	£	£
Remuneration for qualifying services	144,800	189,112
Company pension contributions to defined contribution schemes	3,507	2,389
	148,307	191,501

The number of directors for whom retirement benefits are accruing under defined contribution schemes amounted to 1 (2019 - 1).

9 Interest receivable and similar income

	2020	2019
	£	£
Interest income		
Other interest income	-	22,914

10 Interest payable and similar expenses

	2020	2019
	£	£
Interest on financial liabilities measured at amortised cost:		
Other interest on financial liabilities	38,417	262,230
Other finance costs:		
Interest on finance leases and hire purchase contracts	6,480	7,991
Other interest	17,072	19,867
	61,969	290,088

11 Taxation

	2020	2019
	£	£
Loss before taxation	(3,469,722)	(1,374,873)
Expected tax credit based on the standard rate of corporation tax in the UK of 19.00% (2019: 19.00%)	(659,247)	(261,226)
Tax effect of expenses that are not deductible in determining taxable profit	808	8,019
Tax effect of utilisation of tax losses not previously recognised	(4,700)	(7,302)
Unutilised tax losses carried forward	663,139	260,509
Taxation charge for the year	-	-

11 Taxation **(Continued)**

The company has estimated losses of £15,077,910 (2019 - £10,817,856) available for carry forward against future trading profits.

12 Intangible fixed assets

	Playing staff £
Cost	
At 1 July 2019	3,615,000
Additions	450,000
Disposals	(485,000)
At 30 June 2020	3,580,000
Amortisation and impairment	
At 1 July 2019	1,167,540
Amortisation charged for the year	931,373
Disposals	(277,703)
At 30 June 2020	1,821,210
Carrying amount	
At 30 June 2020	1,758,790
At 30 June 2019	2,447,460

13 Tangible fixed assets

	Leasehold improvements	Plant and machinery	Fixtures, fittings & equipment	Motor vehicles	Total
	£	£	£	£	£
Cost					
At 1 July 2019	1,301,550	968,096	715,213	164,948	3,149,807
Additions	117,374	54,948	1,225	-	173,547
Disposals	-	-	-	(72,093)	(72,093)
At 30 June 2020	1,418,924	1,023,044	716,438	92,855	3,251,261
Depreciation and impairment					
At 1 July 2019	371,694	791,625	678,344	65,887	1,907,550
Depreciation charged in the year	123,178	52,245	9,497	20,925	205,845
Eliminated in respect of disposals	-	-	-	(38,299)	(38,299)
At 30 June 2020	494,872	843,870	687,841	48,513	2,075,096
Carrying amount					
At 30 June 2020	924,052	179,174	28,597	44,342	1,176,165
At 30 June 2019	929,856	176,471	36,869	99,061	1,242,257

The net carrying value of tangible fixed assets includes the following in respect of assets held under finance leases or hire purchase contracts.

	2020	2019
	£	£
Motor vehicles	43,481	97,912

14 Stocks

	2020	2019
	£	£
Finished goods and goods for resale	84,954	113,122

15 Debtors

	2020	2019
Amounts falling due within one year:	£	£
Trade debtors	598,483	1,139,648
Other debtors	199,144	197,396
Prepayments and accrued income	681,769	512,507
	1,479,396	1,849,551

15 Debtors (Continued)

	2020	2019
Amounts falling due after more than one year:	£	£
Trade debtors	12,000	47,500
Total debtors	1,491,396	1,897,051

16 Creditors: amounts falling due within one year

		2020	2019
		£	£
Bank loans and overdrafts	**18**	300,000	847,269
Obligations under finance leases	**19**	11,973	16,722
Other borrowings	**18**	6,999,202	6,754,579
Payments received on account		1,362,179	2,006,055
Trade creditors		2,879,195	2,721,718
Other taxation and social security		1,396,689	155,617
Other creditors		267,511	539,949
Accruals and deferred income		727,515	151,185
		13,944,264	13,193,094

Net obligations under finance lease and hire purchase contracts amounting to £11,973 (2019: £16,722) are secured by fixed charges on the assets concerned.

Bank loans amounting to £Nil (2019: £375,000) are secured by fixed and floating charges over the assets of the company.

Bank loans amounting to £300,000 (2019: £300,000) are guaranteed under the Enterprise Finance Guarantee (EFG) Scheme.

The bank loan of £Nil (2019: £172,269) has been personally guaranteed by two directors to a maximum of £750,000 and is secured by fixed and floating charges over the assets of the company.

17 Creditors: amounts falling due after more than one year

		2020	2019
		£	£
Bank loans and overdrafts	18	-	172,268
Obligations under finance leases	19	36,869	95,470
Other borrowings	18	122,000	-
Trade creditors		583,970	1,401,876
Other creditors		2,580,918	87,923
		3,323,757	1,757,537

Net obligations under finance lease and hire purchase contracts amounting to £36,869 (2019: £95,470) are secured by fixed charges on the assets concerned.

The bank loan of £Nil (2019: £172,268) has been personally guaranteed by two directors to a maximum of £750,000 and is secured by fixed and floating charges over the assets of the company.

18 Loans and overdrafts

	2020	2019
	£	£
Bank loans	300,000	1,019,537
Loans from related parties	6,938,402	6,754,579
Other loans	182,800	-
	7,421,202	7,774,116
Payable within one year	7,299,202	7,601,848
Payable after one year	122,000	172,268

The company has a bank loan of £Nil (2019: £344,537) with an interest rate of 3.50% over the Barclays base rate, a bank loan of £300,000 (2019: £300,000) repayable within 1 year with an interest rate of 0% over the Barclays base rate and a bank loan of £Nil (2019: £375,000) with no interest.

19 Finance lease obligations

	2020	2019
Future minimum lease payments due under finance leases:	£	£
Within one year	11,973	16,722
In two to five years	36,869	95,470
	48,842	112,192

19 Finance lease obligations **(Continued)**

Finance lease payments represent rentals payable by the company for certain items of plant and machinery. Leases include purchase options at the end of the lease period, and no restrictions are placed on the use of the assets. The average lease term is 2 years. All leases are on a fixed repayment basis and no arrangements have been entered into for contingent rental payments.

The net obligations under finance leases are secured by fixed charges on the assets concerned.

20 Retirement benefit schemes

	2020	2019
Defined contribution schemes	**£**	**£**
Charge to profit or loss in respect of defined contribution schemes	81,959	51,322

The company operates a defined contribution pension scheme for all qualifying employees. The assets of the scheme are held separately from those of the company in an independently administered fund.

21 Share capital

	2020	2019
	£	**£**
Ordinary share capital		
Issued and fully paid		
1,642,290 ordinary shares of £2 each	3,284,580	3,284,580

22 Profit and loss reserves

	2020	2019
	£	**£**
At the beginning of the year	(12,099,279)	(10,724,406)
Loss for the year	(3,469,722)	(1,374,873)
At the end of the year	(15,569,001)	(12,099,279)

23 Financial commitments, guarantees and contingent liabilities

The board made a decision in regards to season ticket holders and hospitality customers for the five cancelled home games due to Covid-19. Season ticket holders for the 2019/20 campaign were offered credit on their account for the missing five games on a pro-rata basis which can be used against season ticket purchases for the 2021-2022 and the 2022-2023 season. Alternatively, fans who wanted to support the club in this difficult time, could choose to waive/donate the credit to be redirected to the Posh Academy.

The company has three outstanding cases in regards to the Clive Sheldon QC inquiry. The directors believe the potential liability to be in the region of £50,000 although no reliable estimate can be made.

The company has a financial commitment under contract for maintenance of pitches at the main ground and academy. The financial commitment amounts to £189,000 to 31 August 2021.

The company may receive, under transfer agreements, further amounts for players already sold dependent on whether these players are sold on again for a profit. No reliable estimate can be made of the likelihood of these players being transferred or their potential transfer values.

The company has, under transfer agreements, a liability to pay additional sums dependent on players' attainment and any subsequent transfer value. At the year end such fees were estimated at £660,000 (2019: £325,000) to be payable by the company.

Should the club be promoted to the EFL Championship at the end of the 2020-21 season, it is required to make additional payments to players, coaches, staff, players' former clubs and players' agents up to a maximum of £1,621,341.

The company is also awaiting the outcome of the Sheldon review in to a number of historic cases. The Directors believe that the Club may have a liability in the region of £50,000 in respect of this.

No provision has been made in these accounts for such liabilities as management do not consider the above estimate to be reliable as player attainments may not be achieved and therefore the payment may never crystallise.

24 Operating lease commitments

Lessee

At the reporting end date the company had outstanding commitments for future minimum lease payments under non-cancellable operating leases, which fall due as follows:

	2020	2019
	£	£
Within one year	554,430	8,066
Between two and five years	1,754,895	432,341
In over five years	5,324,594	7,655,282
	7,633,919	8,095,689

A lease agreement was signed with Peterborough City Council for 25 years ending on 21 November 2039. The current rent of £380,000 per annum will rise to £430,000 per annum on practical completion of any London Road terrace works. The rent will be subject to a five yearly review.

25 Related party transactions

Transactions with related parties

During the year the company entered into the following transactions with related parties:

	Sales		Purchases	
	2020	2019	2020	2019
	£	£	£	£
Entities with control, joint control or significant influence over the company	300,000	-	100,000	100,000
Key management personnel	600	180	214,100	200,000
Other related parties	50,618	42,049	11,913	13,831

The following amounts were outstanding at the reporting end date:

Amounts due to related parties	2020 £	2019 £
Entities with control, joint control or significant influence over the company	9,518,246	7,459,579
Key management personnel	194,823	-

The following amounts were outstanding at the reporting end date:

Amounts due from related parties	2020 £	2019 £
Entities with control, joint control or significant influence over the company	352,384	-
Other related parties	15,196	16,596

At 30 June 2020, loans totalling £6,767,579 (2019: £6,754,579), trade creditors totalling £50,667 (2019: £Nil) and amounts received in advance of £Nil (2019: £705,000) were outstanding to entities with joint control over the company. No interest has been charged on the loans.

The bank loan facility has been personally guaranteed by two directors to a maximum of £750,000.

26 Ultimate controlling party

At the balance sheet date there is no ultimate controlling party. The company is jointly controlled by DMA Holdings S.A. and Kelgary Sports & Entertainment Ltd by virtue of their majority shareholding.

27 Cash generated from operations

	2020	2019
	£	£
Loss for the year after tax	(3,469,722)	(1,374,873)
Adjustments for:		
Finance costs	61,969	290,088
Investment income	-	(22,914)
Gain on disposal of tangible fixed assets	(12,486)	(1,437)
Gain on disposal of intangible assets	(556,702)	(4,428,518)
Amortisation and impairment of intangible assets	931,373	805,043
Depreciation and impairment of tangible fixed assets	205,845	221,024
Movements in working capital:		
Decrease in stocks	28,168	2,975
Decrease in debtors	359,654	975,089
Increase in creditors	3,555,424	163,952
Cash generated from/(absorbed by) operations	1,103,523	(3,369,571)

28 Analysis of changes in net debt

	1 July 2019	Cash flows	30 June 2020
	£	£	£
Cash at bank and in hand	436,042	36,253	472,295
Borrowings excluding overdrafts	(7,774,116)	352,914	(7,421,202)
Obligations under finance leases	(112,192)	63,350	(48,842)
	(7,450,266)	452,517	(6,997,749)